

Where do you invest and for how long? This simple question lies at the heart of intelligent investing. Right asset allocation helps overcome market volatility, disciplines investments and helps you achieve your financial goals

The Right Mix

The term asset allocation means diversification or spreading your money across a variety of investments to manage your investment risk better. Simply put, asset allocation is deciding how much of your total savings you want to park in direct equities, equity-linked instruments, bank deposits, other fixed income options, gold, real estate and liquid cash. Asset allocation ensures that the poor performance of any one asset does not jeopardise your entire investment.

But, the question is how do you go about with the asset allocation of your portfolio?

The process of asset allocation begins with identification of different asset classes. Asset class describes a group of securities that share similar risk-return characteristics. Having identified the different asset classes within which you want to diversify, the next step is to know how much you need to allocate to each asset class. At a broad level, the two major asset classes are equity and debt-based investments. Equities are high risk-high return investments while debt-based instruments are relatively low risk-low return investments.

The next step is to arrive at the optimum amount to invest, either directly or indirectly, in equities. The thumb rule of equity investment is to subtract your age from 100 if you are a man and 107 if you are a woman. The result you arrive at is the percentage of your investments you need

Slicing Your Portfolio



CASH INSTRUMENTS

Liquid funds, bank deposits, fixed deposits

FIXED INCOME

Monthly income plan, bonds, NSC/PPF

EQUITY

Stocks, Equity linked insurance products

to park in equities, that is, if you are a man in your 30s, about 70% of your investible surplus should go into equities. As you grow older and move towards retirement, your asset-mix should change too, giving more priority to liquid funds and near-cash, or fixed-return instruments.

Diversification doesn't end here. Within an asset class, select among instrument types. If it is debt, choose a mix of fixed deposits, fixed maturity plans (for tax benefits), small savings schemes and debt mutual funds.

Equity investments are more complicated. If you are a daredevil investor in direct equity holdings, make sure your investments are not concentrated in a single company or industry. Sector diversification is important to tide over times when a whole industry faces a downturn.

For those of you not fully aware of the intricacies of the stock market, investing in a well managed mutual fund or a unit linked insurance plan offers the best alternatives.

Asset allocation ideally is dynamic in nature and needs to be monitored regularly. While some of us can actively take care of this, for the many of us who cannot, there are specialised plans like ICICI Prudential Life Insurance's latest offering 'LifeStage' that adjusts the equity exposure according to age and thus saves us the hassle of mapping our investments to our changing needs.

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LifeStage^{RP}
SMS 'AGE' TO 7827*

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